COURSE

Junior Cycle Business Studies (NCCA)

Marketing mix: price

Strand 2: Enterprise · 2.8 The marketing mix: price

Revision for Strand 2: Enterprise: each firm works it out on its own deals, in euros.

Class **Junior Cycle Business Studies** Topic **Marketing mix: price**

THE LESSON

Setup	2 min

Round 1 — Decisions 3 min · Deals 5 min · Topic tasks 4 min

Firm decisions	**Deals**	TASK 1 **Margin of the price**	TASK 2 **Penetration risks**

Round 2 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

Firm decisions	**Deals**	TASK 3 **Rank by margin**	TASK 4 **Price to hit margin**	**B2B deal**

Round 3 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

Firm decisions	**Deals**	TASK 5 **High or low launch**	TASK 6 **Discounted profit**	**B2B deal**

Final questions	3 min

45-minute setting shown. The 30-minute setting has one topic task per round (Tasks 3, 5 and 6) and one B2B deal. 60 and 75 add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments	Buy property or funds. The value can rise or fall.
Operations	**Buying**	Hire the Procurement Specialist or the Stock Controller for the round.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

What do you keep?

Margin, as % of the price?

WORK OUT THE NUMBER · EXAMPLE FIGURES

You pay per car	**€10,200**
Customer pays per car	**€12,000**

METHOD

Margin % = (customer pays – you pay) ÷ customer pays × 100

(€12,000 – €10,200) ÷ €12,000 = 15%

Why: You keep 15p of every €1 the customer pays.

Task 2

ROUND 1

You set a low price on a new model to win buyers fast.

Which two are the main risks?

PICK TWO

- ○ A higher profit per car
- ✔ **A low margin on each car**
- ✔ **Buyers may leave when it rises**
- ○ Fewer buyers at the start
- ○ Rivals can never match it

Why: A low price earns little per car, and buyers drawn by price may not stay.

Task 3

ROUND 2

Three cars: what you pay for each, and its price.

Order by margin %, highest first?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **Pay €7,000, price €10,000**
2. **Pay €9,000, price €12,000**
3. **Pay €14,000, price €17,500**

Why: Margins 30%, 25%, 20%: the biggest profit in euros has the lowest margin.

Task 4

ROUND 2

Price to hit your target.

Price with the 25% margin?

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

You pay per car	**€7,200**
Prep per car	**€300**
Target margin on the price	**25%**

METHOD

Price = (you pay + prep) ÷ (100% – target margin)

(€7,200 + €300) ÷ 75% = €10,000

Why: A 25% margin is a 33% mark-up on cost.

Task 5

ROUND 3

You get a rare new model that no rival in town sells.

Which launch price should you set, and why?

PICK A OR B AND GIVE A REASON

- ✔ **A high price at launch**
- ○ A low price at launch

Why: No rival and a rare model: buyers will pay more at first, so skim.

Task 6

ROUND 3

They want a discount.

Profit on the 3 cars?

WORK OUT THE NUMBER · EXAMPLE FIGURES

List price per car	**€17,000**
Fleet discount	**10%**
You pay per car	**€12,000**

METHOD

Profit = cars × (list price − discount − you pay)

3 × (€17,000 − 10% − €12,000) = €9,900

Why: The 10% discount costs €5,100 of profit on the deal.

Final questions

6	50	10
questions for each pupil	questions in the Irish set	of them on marketing mix: price

The game draws 6 questions from the lesson topic "Pricing"; these 10 are about marketing mix: price.

1. A car cost your firm €9,000. You want €2,200 left after the VAT on the margin. Roughly what price do you need?
   About €11,706

2. A rival sells the same model for €11,500. Your car cost €10,200. If you match the rival's price, what is left after VAT?
   €1,057

3. Your price to a customer is €13,000. What does the customer actually hand over?
   €13,000: the VAT on your margin is inside the price.

4. You sell a car to another student firm for €9,500; it cost you €8,800. Does the sale carry VAT?
   Yes: 23/123 of the €700 margin, like any sale.

5. You add a 20% markup to a car that cost €8,000. What is the price, and what is the margin?
   Price €9,600, margin €1,600

6. A customer offers €10,000 and another firm offers €9,600 for a car that cost €8,500. After VAT, how much more does the customer sale leave?
   €326

7. A fleet customer wants 4 cars that cost you €7,000 each and offers €30,000 for the lot. What is the margin per car, and the VAT on the lot?
   €500 a car; VAT €372

Final questions

8 Two firms sell the same SUV. Firm A paid €14,000 and asks €16,000; Firm B paid €15,200 and asks €16,000. Which firm keeps more after VAT?

Firm A: a bigger margin leaves more even after a bigger VAT.

9 You cut a price from €12,000 to €11,400 on a car that cost €9,900. How much less do you keep after VAT?

€487

10 Your firm wants €6,000 left after VAT this round and sells cars at a €2,000 margin each. How many must it sell?

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